

Q1

EMAIL@ndgarchitects.com

Date: 1st August 2018

To: Belinda Carter

Cc:

From: Jim Lau

RE: Alterations to 1 Wayward Place, Ormkirk

Hi Belinda,

Having reviewed your Email with regards to the professional matters, I have addressed the what should have been done for the project and listed below.

What should have been done and lesson learned:

- Since Seven Berg was a Senior Architect, he would have much more experience than me as a Part 2 assistant. Also, with the sudden departure of Sven, there were no handover procedures in place which could be important to follow up on specific items. Especially with the speed, the construction was happening, I should have ensured the correct details were followed to the Contract documents by the contractors when I first on site.
- Accord to the Architect Act 1997, the title of Architect should only be used when the person satisfies the register and is registered in Part 2 of the Register. And the client has insisted the project was looked after by an architect. I should have followed the ARB Code of Conduct Standard 1 to be expected to act with honesty and integrity. NDG should have allocated appropriate resource to be handling the project who are registered Architects.
- Looking back, I think acting on Client's WhatsApp message was inappropriate, I should have asked for a written confirmation from the client for NDG's record for good Quality Management system. Also, I should have avoided the act of Verbal Instructions on site, if I was instructed, I should have followed up with Confirmation of verbal instructions in writing for good practice.
- The impulse use of wood burning stove touches on the Building regulations part J before we make any instruction to the contractor, we should have check if the specification of the stove fulfils the Regulation in Part J.
- We should have checked if the steel flue is included in the contract item for insurance and it has product warranties as it might require a specialist for installation. We should also have checked if this is under Contractor design portion/ contract item as it would later have implantation on the cost.
- We should have instructed to remove the flue temporary as we did not obtain planning consent for the flue. Under the Town and Country Planning Act 1990, we should make submission of section 73, minor material amendments for planning permission.
- As we have not obtained permission for the installation of the flue, and we had to give instruction to remove the flue. This would have increase client's risk with a delay of the critical path and would have allowed the contractor to claim for EoT and loss and expense. As CA of the project, under the ARB Code of Conduct 6, it is our duty or care for foresee such event and inform the client of any work that would affect the quality or cost.

Q1

- The client could potentially file a Complaint to ARB against NDG if the Client is being claimed against the contractor. If complaint procedure does happen, we are expected to act Under ARB code of conduct 10, and handle complaints as the complaints procedure followed by appropriate methods of dispute, such as Negotiation and mediation.

I hope the above information is sufficient.

Let me know if you require any further information.

Kind Regards,

Jim Lau

E: jlau@ndgarchitects.com

T: 01234 567891

Q2

EMAIL@ndgarchitects.com

Date: 8th Sept 2013

To: Belinda Carter

Cc:

From: Jim Lau

RE: New Apartments in Madchester for Lycragran Developments Limited

Hi Belinda,

Having reviewed your Email with regards to the Lycragran Developments, I have drafted the response to Damon for your review, please see below for email.

Dear Mr Hillock,

Thank you for inviting my practice (NDG Architects Ltd.) to act as your Architect for this project. Here are the details regarding the brief outline of time scale as requested.

I understand that there might be difficulties to issue a form of agreement as your office manager is away. Here I put forward two suggestions:

1. Lycragran Development Limited to provide Bespoke form of agreement from by another office manager
2. NDG Architects to provide Form of Appointment

to avoid any potential delays to the work and to comply with ARB and RIBA Code of Conduct, we shall ensure our terms of appointment are clear and recorded in writing. This will avoid any misunderstandings and disputes, define fees and provisions for payment, assert and retain copyright, establishes a fair and reasonable allocation of risks, and complies with RIBA and ARB code of conduct requirements to which we are upheld, provide clarity, comfort and protection to both parties.

NDG Architects will undertake full architectural services up to RIBA Work Stage 3. It is understood that the total construction budget for this project is £6,500,000 excluding VAT and other professional fees.

Please find an outline services based on the RIBA work stages 0-3 and relevant tasks for this project: (Please refer to the attached RIBA Standard Form of Agreement for full work stage services)

1. Appointment

NDG would suggest the appointment will be with RIBA Standard Conditions of Appointment for an Architects 2010 (2012 revision). I would like to draw your attention in particular to, **Clause 3 in relation to Time and Cost that the Architect does not warrant the planning permission and other approvals will be granted or with any timescale**, clause 5 relating to fees and expenses; clause 7 relating to liability and Condition 9 relating to the resolution of any dispute.

2. Fee

Q2

Our fee for undertaking the architectural design services stands at a lump sum fee of £81,250 (1.25% of the construction cost) for the work and is based on the anticipated resource allocation required to complete the project for the RIBA work stages 0-3. Should there be any material change in the overall cost of the scope of work, our fee will be adjusted accordingly.

Our fee will be broken down and invoiced at the following stages.

RIBA work Stages	Stage Description	Fee Break down = £81,250
0	Strategic Definition	5% = £4,062.50
1	Preparation and Brief	
2	Concept Design	42% = £34,125.00
3	Developed Design	53% = £43,062.50

3. Programme

The programme on which our fees are based:

RIBA work Stages	Stage Description	Duration
0	Strategic Definition	1 week
1	Preparation and Brief	
2	Concept Design	6 weeks
3	Developed Design	8 weeks
-	Planning Permission	8-13 weeks

4. Procurement Route selection

As there is still indecision about the procurement route, please see my suggestion below for assist of selection:

Traditional - Benefits in Cost and Quality at the expense of time – NDG to act as Contract administration in stages 4-6.

Advantage:

- There is certainty of cost, to the extent that a lump sum is known before work begins.
- Quality assured - Client appoints consultants to advise on all matters of design, and cost, he thereby retains control over the design and quality required
- Contractor carries out works in accordance with the contract
- Competitive tender process (all contractor pricing against the same Contract document)
- Less room for ambiguity or error
- There are widely accepted codes of procedure for single stage or two stage tendering, whether competitive or based on a negotiated price. These should be used whenever possible.

Drawback:

- A traditional lump sum approach requires the production of a full set of documents before tenders are invited. Adequate time must be allowed for this.
- The contractor depends heavily upon the necessary information and instructions from the architect being issued on time. There is a risk of claims if they are delayed.
- Information release dates are sometimes agreed beforehand but making these contractually binding can cause problems.
- The possibility of over designing due to lack of contractor involvement.

Design and Build – Benefits in Cost and Time at the expense of quality – NDG to novate under Sky, Hook and Partners. The possibility of consultant switch and retain at Client side for Quality assurance.

Advantage:

- In the most straightforward of design and build contracts, there is a single point of responsibility. The client, therefore, has the advantage of only one firm to deal with – and one firm to blame if things go wrong.
- Construction work can be started early as a great deal of detailed design work can proceed in parallel. This usually results in a more developed design and greater certainty of cost and timing.
- Responsibility for completing on time rests wholly with the contractor. There should be little risk of claims because of allegations that information from the client is late. This obligation on the contractor to be responsible for the flow of his necessary information is one of the most attractive features of design and build.
- Designer novating under contractor can ensure design quality throughout the project.

Drawback:

- The client lacks control over the detailed aspects of design; however, this might be acceptable where the broad lines of the scheme are satisfactory and the detail relatively less important.
- Any significant changes in the client's requirements will affect the Contract Sum however and are likely to prove costly.
- Valuation of changes by the client is entirely the responsibility of the contractor, and the client has no quantity surveyor to intervene on his behalf.
- It is often difficult to evaluate the design and build tenders objectively where both schemes and prices are submitted.
- Potential Conflict of Interest may arise if novation occurs. A written agreement should be signed by all parties to accept conflict of interest.

Based on the timescale you have mentioned, I would suggest Design and Build would be more suitable as it can have a greater certainty of time. Design and construction work can proceed in parallel. Novation can also ensure the design quality after stage 3 and planning application.

5. Scope of works

0 Strategic Definition

- Identify Client's Business Case/Strategic Brief and other core project requirements.
- Inform the Client of his duties under the CDM 2015 Regulations. The clients are fully responsible for their duties on this project, as they are developer clients.
- Obtain information about the Site from the Client. Visit the Site and carry out an initial appraisal.
- Advise on the need for and consultants, specialists and suppliers. We would advise as essential to the project: Structural Engineer, Quantity Surveyor, Principle Designer, Planning Consultant, Flood Risk Consultant.
- Establish Project Programme

1 Preparation and Brief

- Develop project objectives, including quality objectives and Project Outcome, Sustainability Aspirations, Project Budget and develop Initial Project Brief.
- Carry out studies necessary to determine the feasibility of the Client's Requirements.
- Review Project Programme

2. Concept Design

- Prepare Concept Design, including an outline proposal for the structural design, building services systems and outline specifications. Agree on Design Programme and alterations to Client's Requirements.
- Prepare an approximation of construction cost; by providing information to the appointed QS for cost planning.
- Develop Health and Safety strategy
- Commission specialist reports required for planning permission and integrates them into design and design and access statement. (flood risk assessment, soil testing, Ecological surveys)
- Submit outline scheme to LA for pre-application advice to establish the principle of a proposal and reduce the risk of a full planning application. Receive client signoff of Client Requirements and concept design. We can continue with Developed design following the verbal feedback, prior to the formal written advice which will take 5 weeks from the meeting.

3. Developed Design

- Prepare Concept Design, integrating and including outline proposals for the structural design, building service systems, outline specifications and preliminary cost Information. Agree with alterations to brief and issue Final Project Brief. Obtain Client Signoff for design.
- Prepare and apply for full planning permission including design and access statement, full set of existing and proposed plans and relevant specialist reports.
- Review Health and Safety strategy.
- Discharge any pre-commencement conditions attached to the planning permission once LA decision has been made. (typically provide material samples, further details of boundary treatment.

We shall discuss the above information in our meeting next week with greater detail. Don't hesitate to contact us during this week if you have any questions.

We look forward in working with you on this project!

Best Regards,

Belinda Carter
RIBA DipArch BA (Hons)
Director
For and on behalf of:
NDG architects ltd.

Q3

EMAIL@ndgarchitects.com

Date: 8th Sept 2013

To: James Noble

Cc:

From: Jim Lau

RE: Proposed residential refurbishment/ conversion of former office building and upper storey extension

Hi James,

Having reviewed your Email with regards to the extra storey extension, I have drafted the response to Mr Iffy and addressed the potential planning issues for the project and listed below for your review.

Thanks

Jim

Dear Fred,

I fully understand your concern, our current scheme might not be exploiting the site's full potential, I have thought of few approaches we can take, and I hope my below advice will provide you with a better insight of the situation

The best way forward:

As the building is a Grade II listed building, and since we have finally obtained the planning permission and LBC after many obstacles during the process. I would strongly recommend sticking with our program with the original scheme. In the due course, we can consult LA and they will be able to advise on what is likely to be permitted and reducing the risk away from the planning application. apply a separate planning application for the extra storey of extension. With the neighbouring property has developed higher, this could help our case for additional units. We shall raise this to the Planner and see if this can be used as an argument.

If the outcome is positive with the planners, we can consider to either resubmit a new planning application with the extra storey or we could make a separate application to the extra storey extension.

This way, we can minimise the potential risk of any delay on the critical path despite the outcome of the discussion.

Pre-application

- If we were to resubmit a new application including the extra storey of extension, we would require going through the planning and listed building consents application. A pre-application consultation will have to be carried out with the Local Authority and Historic England, this will add an estimate of 4-6 weeks of deferment of site possession to the contractor. Planning and LBC submission will take another 8-12 weeks. The local consultation will also be carried out which have a potential objection from the local heritage groups.

Planning Appeal

Q3

- If the planning approval is refused, we have the option to proceed a planning appeal. There are 3 different types of appeal, written, hearing and public enquiry. With the sensitivity, the scale of the project and the public interest in this project, I believe Public Enquiry would be suitable. This could take up to 47 weeks for the LPA to reach a decision for Inquiries.

Consultants

- For the planning submission, we might require hiring a planning consultant as we have experienced the long and tricky procedure for this sensitive site. Also, we would require resubmitting the daylight assessment of neighbouring impact.
- We shall also revise the heritage and conservation assessment as this would support our reasoning and augment for the new scheme, therefore heritage constant should be appointed.

Risk

- As you have arranged with engineers for the additional floor in their steelwork calculation, if we do not obtain the planning consent for the new scheme, there will be a risk of extra cost with the material and

uPVC window installation

The proposal to replace the timber framing with uPVC framing as the LPA has already agreed (with the support of Historic England and wider consultees). We shall remind you that any work commenced on site that is not approved or deviated from LBC shall constitute a criminal offence. A listed building enfranchisement notice will be issued and if work does not comply with the compliance period, planning authorities can apply for Confiscation Orders to recover any financial benefit obtained through the development which was unauthorised. LPA has the right to prosecute the client notice is ignored.

I hope the above information can justify my recommendation, and we shall arrange a meeting for a detail discussion.

Let me know if you require any further information.

Best Regards,

James Nobel

RIBA DipArch BA (Hons)

Director

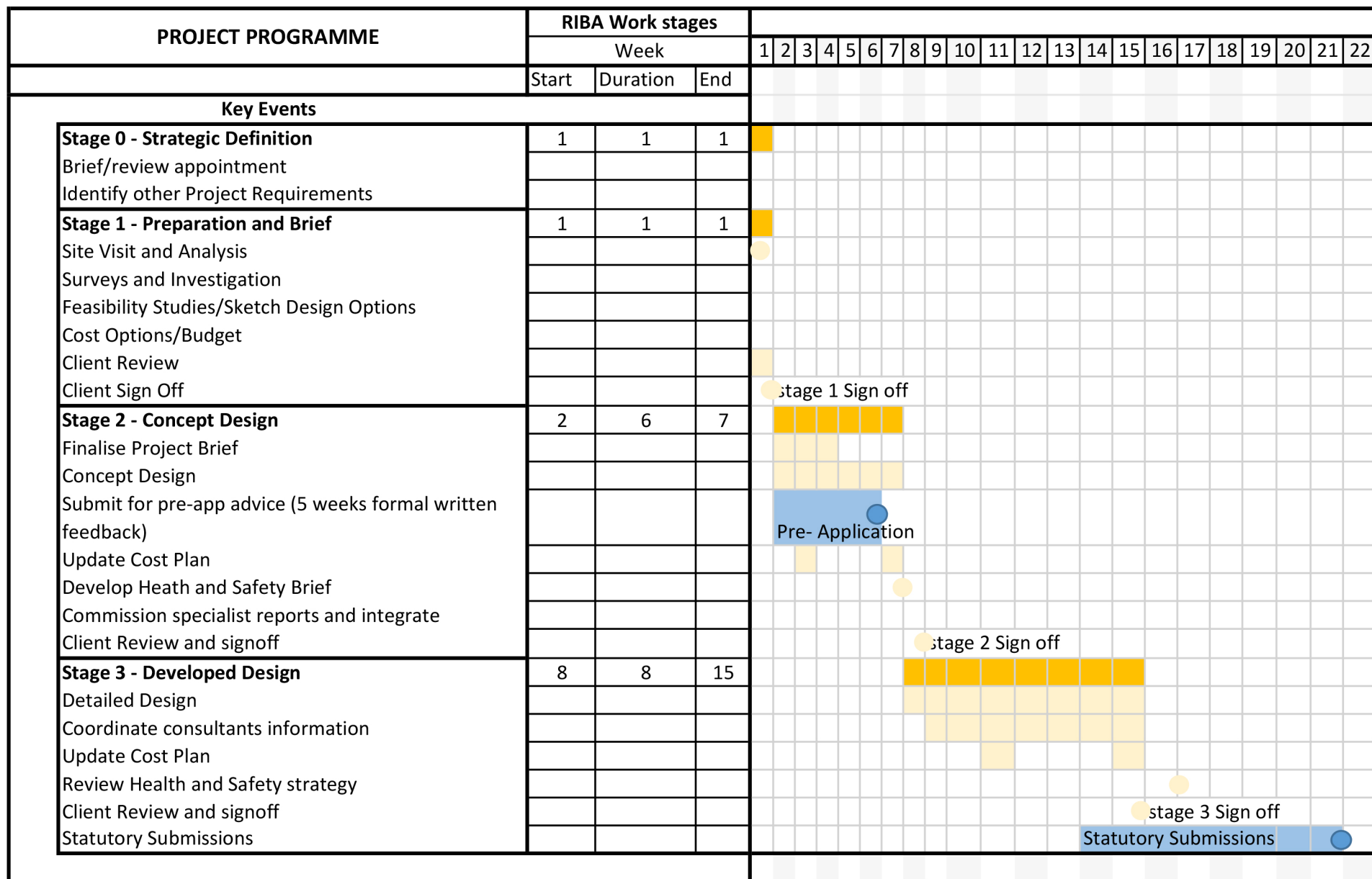
For and on behalf of:

NDG architects Ltd.

Program Week

total weeks
15

Program Week				1			1			2			8		
RESOURCES				STAGE 0 Strategic Definition			STAGE 1 Preparation + Brief			STAGE 2 Concept Design			STAGE 3 Development Design		
Position	Name	Fee Per Week	Fee Per Day	duration weeks	Days/wk	cost £	duration weeks	Days/wk	cost £	duration weeks	Days/wk	cost £	duration weeks	Days/wk	cost £
Director	Belinda Carter	£3,200.00	£640.00	1	0.5	320	1	0.5	320	6	1.5	5760	8	2.0	10240
Architect	Renata Wang	£2,000.00	£400.00		0.0	0		0.5	200		5.0	12000		5.0	16000
Architectural Technologist	George Gee	£1,720.00	£344.00		0.0	0		0.0	0		5.0	10320		5.0	13760
Architectural Assistant	Olga Poilicek	£1,600.00	£320.00		0.0	0		0.0	0		5.0	9600		5.0	12800
Architectural Assistant	Jim Lau	£1,600.00	£320.00		0.0	0		0.0	0		5.0	9600		5.0	12800
Year out student	Sara Smitt	£1,120.00	£224.00		0.0	0		0.0	0		5.0	9600		5.0	12800
					0.5	320		1.0	520		26.5	56880		27.0	78400
													£136,120		



INTEROFFICE MEMO – **CONFIDENTIAL**

Date: 8th Sept 2013

To: Belinda Carter

Cc:

From: Jim Lau

RE: Madchester Tower

Having reviewed your Memo with regards to the six-storey speculative office building, I have attached the lump sum fee and Gantt chart as requested.

Fee:

Refer to my fee calculation, our project team consist 6 team members. The work is based on the anticipated resource allocation required to complete the project for the RIBA stages 0-3, I suspect the Statuary application at the end of stage 3 would require more time and resource to complete, hence more time and fee are allocated in stage 3.

The standard lump sum fee of £136,120 has been calculated, 30% less would arrive at the total of **£95,284**. RIBA stages 0-3 would have the sum of 38% of the full service, here is the fee break down:

RIBA work Stages	Stage Description	Fee Break down =£95,284
0	Strategic Definition	5% = £4,764.20
1	Preparation and Brief	
2	Concept Design	42% = £40,019.28
3	Developed Design	53% = £50,500.52

Programme:

The programme on which our fees are based:

RIBA work Stages	Stage Description	Duration 15 weeks
0	Strategic Definition	1 week
1	Preparation and Brief	
2	Concept Design	6 weeks
3	Developed Design	8 weeks
-	Planning Permission	8-13 weeks

Pros vs Cons:

Pros:

- This is a high-profile project located in the centre of Madchester
- Competition against high profile companies, if we win the bid, publicity for the practice will increase
- If the project delivered successfully, more job with IR developments or other similar clients would approach in the future.

Cons:

- "At cost" fee has no profit posts high risk for the practice

- If the project goes badly, this will affect the relationship with the client and any other future partnership.

Key terms and condition:

1. Outline of Service

Please find an outline service based on the RIBA work stages 0-3 and relevant tasks for this project:

2. Appointment

The appointment will be with RIBA Standard Conditions of Appointment for an Architects 2010 (2012 revision). I attached a copy of the agreement for your review. I would like to draw your attention in particular to, clause 5 relating to fees and expenses; clause 7 relating to liability and Condition 9 relating to the resolution of any dispute. On confirmation of your acceptance of our fees, services and the terms of the Agreement, we will arrange a meeting to sign and initial the Agreement to formalise our appointment as your Lead Designer and Contractor Administrator. Following this, we will be able to commence the architectural services immediately. Prior to this meeting please don't hesitate to contact me to discuss any queries you have regarding the Condition of Appointment prior to signing.

3. Expense

Expenses are included in the overall fee.

NDG Architects have allowed for travel (within 25 miles of Manchester), and printing of drawings and reports for our own use and for distribution to other consultants.

4. Consultants/ surveys

The client will appoint required consultants. The following is a preliminary list of consultants and services that will likely to be carried out to facilitate a successful project. Our fee proposal does not include the fees of any consultants or surveys.

Surveys:

- **Structural engineer**

To carry out a structural survey of the building. It is clear that the building has not been maintained well, so it is essential to make sure the building is structurally sound prior to carrying out any works.

- **M+E Consultants**

To design the M+E aspect of the scheme and to be integrated into the developed design.

- **Approved inspector**

It is a good idea to get an approved inspector on board early in the project, to ensure everything is compliant. It is likely that some elements of the proposal may not fully comply with the latest guidance in the Approved Documents due to the limitations of the existing building, so the approved inspector can help to advise what will be permissible from his/her point of view.

- **Traffic consultant**

As the site is located in the city centre of Manchester, developments would impact the traffic load if there are car parking spaces within the development. This is subject to the development.

- **Tree Hazard Survey**

Although there are no trees shown on the map attached, this shall subject on-site visit to determine if this is necessary.

5. Health and Safety

Under the CDM regulations 2015, Client is requiring appointing a Principal Designer as soon as practicable to oversee the health and safety aspects of the pre-construction phase of the project. This is a role that is to be taken on by a member of the design team, which could be NDG Architects or other competent duty holders. NDG Architects can act as the Principal Designer with a lump sum fee of £2,500. This is something which we can advise you upon should we be appointed.

6. Liability

We confirm NDG Architects maintain professional indemnity insurance cover £500,000 for any one occurrence or series of occurrences arising out of one event and this will be the maximum of our liability to you arising out of this Agreement. Any such liability will expire after 6 years from the date of the last Services performed under the Agreement or practical completion of the construction of the project.

NDG Architects Ltd. Maintains its professional indemnity policy in respect of this Project with [Insures Name], who can be contacted at [Insures Address], information about my practice's professional indemnity policy can be found at www.ndgarchitects.com/PII.

7. Disputes

NDG Architects aims to provide a professional standard of service, if at any time you are unsatisfied with our services, please bring the issues to our attention as earliest as possible. However, either of us can refer the matter to adjudication or the courts in accordance with JCT Standard appointment clause 9.

8. Copy Right

NDG Architects retains all copyrights of drawings and specifications prepared for this project and grants a license to the client to use all project documents which may be suspended on given 7 days' notice in the event of non-payment of fees.

9. Termination

NDG Architects can suspend performance of any or all the Services or terminates performance of the services and/or other obligations the Architect shall issue an account or accounts as soon as reasonably practicable and the Architect shall be entitled to payment and/or reimbursement of any loss and damages in accordance with JCT Standard appointment clause 5.

I hope the above information is sufficient.

Let me know if you require any further information.

Kind Regards,

Jim Lau

E: jlau@ndgarchitects.com

T: 01234 567891

NDG ARCHITECTS Ltd

The Cotton Mill

26 Kings Road

Madchester

T +44 (0)1 2345 67890

NDG Ref: FP/00153

Date: 05-09-2018

Mr Dohisbest
Spoke Retail Park
Madchester
MA2 5JX

Dear Mr. Dohisbest,

Spoke Retail Park

I am reluctant to hear that Lycragran Developments is currently experiencing some financial problems. As the Contract Administrators, we are writing to advise you regarding your contractual position.

I am pleased to hear you are very happy with the contractor's performance. I must advise you that you should withdraw the instruction on cancelling this month's valuation and should issue the interim certificate. Under the JCT SBC16 clause 8.9, if Client fails to pay by the date for payment, the contractor has the right to terminate the contract. Which this will have significant impact on the critical path and potential claim of loss and damages are made against you.

I understand you have been advised by your financial experts to put the company into administration which you are keen on. I also must advise you with the recent announcement with government's Insolvency Service plans to tackle phoenixing to help safeguard workers, pensions and small businesses. Directors may face investigation and be liable to fines or be disqualified from running a business if they try to avoid paying a dissolved company's debts. Under the new powers, directors will be required to explain to shareholders how dividends can be paid alongside other financial commitments. Under the new powers, the Insolvency Service will be able to fine directors or even have them disqualified which will create a whole lot of issues for the project and potential financial losses.

NDG Architects Ltd.

Directors: Belinda Carter, Michael Hart

Registered at: Wharf Mill, Piccadilly, Madchester MAD PPA Company No. 66789

T: 01925 455663 www.ndgarchitects.com F: 01925 455664

Q5

Draft Letter

Putting the company into administration and insolvency, again, the contractor could terminate the contract under clause 8.10.

As the Contractor Administrator of this project, our duty is to act impartially and fairly which we can not persuade the contractor to accept your terms. If the contractor accepts the terms you offer, we would strongly advise you to seek for other means to secure financial funding to resolve the current situation as the contractor may not be able to support themselves without getting paid, which would put the project into jeopardy.

Here I suggest arranging a meeting between all parties as soon as possible to solve the problem and avoid any miscommunication and rumours.

I trust you will have the best judgement on this situation and able to find the best mean of the solution in this difficult situation. Please do not hesitate to contact if you have anything you wish to discuss.

Yours sincerely,

Sue Allen

RIBA DipArch BA (Hons)

Associate Director

For and on behalf of:

NDG architects ltd.

NDG Architects Ltd.

Directors: Belinda Carter, Michael Hart

Registered at: Wharf Mill, Piccadilly, Madchester MAD PPA Company No. 66789

T: 01925 455663 www.ndgarchitects.com F: 01925 455664

INTEROFFICE MEMO

Date: 8th Sept 2013

To: Sue Allen

Cc:

From: Jim Lau

RE: Spoke Retail Park

Having reviewed your Memo and Mr Dohisbest's memo with regards to his company financial situation and attitude towards the solving the problem, I have a few concerns about his actions addressed and listed below.

Initial Thoughts:

- With the majority of funding is funded by two overseas banks, perhaps because the international funding got held up which lead the client faces financial difficulties temporarily.
- Or this could be a cover-up of his potential insolvency to the contractor, trying to keep the contractor on site without paying the fees.
- We should have done a background check on the client at the beginning of the appointment as we want to make sure the client has a good track record to ensure we receive payment for each stage of our services.
- If we do find something is not right about the client, we should take precautions and start readjusting our resources on the project to minimise our losses and risks, in case if the client goes into insolvency.
- If the company goes into administration, the court will make an order where satisfied the company is unable to pay its debts and that administration is likely to achieve its purpose. The court will usually qualify as a floating charge and require the directors to rescue the company.
- We should seek legal advice if the client to go into insolvency or contact the Official receiver at the Insolvency service to apply for any claims that contractor might owe.
- Also, with the recent law, we should advise the client that the Insolvency service has announced plans to tackle phoenixing to help safeguard workers, pensions and small businesses. The client could face investigation and be liable to fines and disqualified from running a business if they try to avoid paying a dissolved company's debts. If the client does not take our advice and continue to act illegally, we shall remove ourselves from having business with such clients and terminate the contract immediately.
- I would suggest a meeting between all parties as soon as possible to solve the problem and avoid any miscommunication and rumours.
- A polite letter should also be followed up to the client with advice.

We don't want to lose such an important client as Lcragran Developments is a well-known local developer and our long-lasting relationship.

I hope the above information is sufficient.

Q5

Let me know if you require any further information.

Kind Regards,

Jim Lau

E: jlau@ndgarchitects.com

T: 01234 567891